

Press Release



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Cigna Reports Second Quarter 2021 Results

- *Total revenues in the second quarter were \$43.1 billion, and adjusted revenues¹ were \$43.1 billion*
- *Shareholders' net income for the second quarter was \$1.5 billion, or \$4.25 per share*
- *Adjusted income from operations² for the second quarter was \$1.8 billion, or \$5.24 per share*
- *Adjusted income from operations^{2,3} for 2021 is projected to be at least \$20.20 per share*

BLOOMFIELD, CT, August 5, 2021 – Global health services company Cigna Corporation (NYSE: CI) today reported second quarter 2021 results, with strong diversified revenue growth across its businesses.

“Our more than 70,000 employees continue rising to the moment, delivering for our customers, patients, and clients during a period of ongoing uncertainty around the world,” said David M. Cordani, President and Chief Executive Officer. “Our second quarter results were solid, as we continue to drive our business forward and invest to fuel our sustained long-term growth.”

Total revenues for second quarter 2021 were \$43.1 billion. Adjusted revenues¹ were \$43.1 billion and reflect strong contributions from each of Cigna's ongoing businesses.

Shareholders' net income for second quarter 2021 was \$1.5 billion, or \$4.25 per share compared with \$1.8 billion, or \$4.73 per share, for second quarter 2020.

Cigna's adjusted income from operations² for second quarter 2021 was \$1.8 billion, or \$5.24 per share, compared with \$2.2 billion, or \$5.81 per share, for second quarter 2020. The quarter over quarter comparison reflects second quarter 2020 results that included significantly lower medical care due to the onset of the COVID-19 pandemic.

Reconciliations of total revenues to adjusted revenues¹ and of shareholders' net income to adjusted income from operations² are provided on the following page and on Exhibit 1 of this earnings release.

CONSOLIDATED HIGHLIGHTS

The following table includes highlights of results and reconciliations of total revenues to adjusted revenues¹ and shareholders' net income to adjusted income from operations²:

Consolidated Financial Results (dollars in millions):

	Three Months Ended				Six Months Ended
	June 30,		March 31,		June 30,
	2021	2020	2021	2021	2021
Total Revenues	\$ 43,131	\$ 39,265	\$ 40,971	\$ 84,102	
Net Realized Investment (Gains) Losses from Equity Method Investments ¹	(24)	(60)	14	(10)	
Adjusted Revenues ¹	\$ 43,107	\$ 39,205	\$ 40,985	\$ 84,092	
Consolidated Earnings, net of taxes					
Shareholders' Net Income	\$ 1,467	\$ 1,754	\$ 1,161	\$ 2,628	
Net Realized Investment (Gains) Losses ²	(70)	(88)	13	(57)	
Amortization of Other Acquired Intangible Assets ²	388	376	388	776	
Special Items ²	23	110	102	125	
Adjusted Income from Operations ²	\$ 1,808	\$ 2,152	\$ 1,664	\$ 3,472	
Shareholders' Net Income, per share	\$ 4.25	\$ 4.73	\$ 3.30	\$ 7.54	
Adjusted Income from Operations ² , per share	\$ 5.24	\$ 5.81	\$ 4.73	\$ 9.96	

- Year to date through August 4, 2021, the Company repurchased 18 million shares of common stock for approximately \$4.1 billion.
- The debt-to-capitalization ratio was 40.5% at June 30, 2021, in line with our long term target of approximately 40%.
- The SG&A expense ratio⁴ was 6.9% for second quarter 2021, a decrease from 8.4% for second quarter 2020, driven by revenue growth, the repeal of the health insurance industry tax, and continued expense efficiency, as well as the favorable impact of non-recurring items in the quarter.

CUSTOMER RELATIONSHIPS

The following table summarizes Cigna's medical customers and overall customer relationships:

Customer Relationships (in thousands):

	As of the Periods Ended			
	June 30, 2021	2020	March 31, 2021	December 31, 2020
Total Customer Relationships⁵	191,111	184,468	189,929	185,375
Total Pharmacy Customers⁵	101,929	97,076	101,002	98,850
U.S. Commercial ⁶	13,760	14,000	13,552	13,626
U.S. Government ⁶	1,484	1,415	1,464	1,387
International Markets	1,708	1,668	1,687	1,660
Total Medical Customers⁵	16,952	17,083	16,703	16,673
Behavioral Care	39,110	37,061	38,950	36,908
Dental	17,725	17,850	17,800	17,542
Medicare Part D	3,177	3,300	3,184	3,291
International Markets Supplemental Policies ^{5,7}	12,218	12,098	12,290	12,111

- The pharmacy customer base⁵ at second quarter 2021 grew to 101.9 million, an organic increase of 3.1 million year to date, driven by strong ongoing retention and new sales.
- The total medical customer base⁵ at second quarter 2021 was 17.0 million, an increase of 279,000 customers year to date, driven by net growth in U.S. Commercial, U.S. Government, and International Markets.

HIGHLIGHTS OF SEGMENT RESULTS

See Exhibit 1 for a reconciliation of adjusted income (loss) from operations² to shareholders' net income.

Evernorth⁶

This segment includes a broad range of coordinated and point solution health services, including pharmacy services, benefits management, care solutions and data and analytics, which are provided to health plans, employers, government organizations, and health care providers.

Financial Results (dollars in millions):

	Three Months Ended			Six Months Ended
	June 30,		March 31,	June 30,
	2021	2020	2021	2021
Adjusted Revenues ¹	\$ 32,592	\$ 28,602	\$ 30,620	\$ 63,212
Adjusted Income from Operations, Pre-Tax ²	\$ 1,413	\$ 1,249	\$ 1,223	\$ 2,636
Adjusted Margin, Pre-Tax ⁸	4.3%	4.4%	4.0%	4.2%

- Second quarter 2021 adjusted revenues¹ increased 14% relative to second quarter 2020 driven by strong organic growth, including growth in retail network and specialty pharmacy services, as well as the impact in second quarter 2020 of lower retail script volumes due to the COVID-19 pandemic.
- Second quarter 2021 adjusted income from operations, pre-tax² increased 13% relative to second quarter 2020, reflecting benefits from the effective management of the supply chain and business growth, partially offset by technology investments.
- Evernorth fulfilled 410 million adjusted pharmacy scripts⁹ in second quarter 2021, an increase of 13% over second quarter 2020 driven by strong organic growth and COVID-19 vaccines.

U.S. Medical⁶

This segment includes Cigna's U.S. Commercial and U.S. Government businesses that provide comprehensive medical and coordinated solutions to clients and customers. U.S. Commercial products and services include medical, pharmacy, behavioral health, dental, vision, health advocacy programs and other products and services for insured and self-insured customers. U.S. Government solutions include Medicare Advantage, Medicare Supplement, and Medicare Part D plans for seniors, Medicaid plans, and individual health insurance plans both on and off the public exchanges.

Financial Results (dollars in millions):

	Three Months Ended			Six Months Ended
	June 30,		March 31,	June 30,
	2021	2020	2021	2021
Adjusted Revenues ¹	\$ 10,456	\$ 9,237	\$ 10,362	\$ 20,818
Adjusted Income from Operations, Pre-Tax ²	\$ 1,017	\$ 1,523	\$ 987	\$ 2,004
Adjusted Margin, Pre-Tax ⁸	9.7%	16.5%	9.5%	9.6%

- Second quarter 2021 adjusted revenues¹ grew 13% over second quarter 2020, reflecting customer growth in Medicare Advantage and the Individual business, premium increases, and favorable net investment income, as well as the absence of 2020 premium relief programs in response to the COVID-19 pandemic.
- Second quarter 2021 adjusted income from operations, pre-tax² and adjusted margin, pre-tax⁸ decreased relative to second quarter 2020 primarily due to significantly lower medical care in second quarter 2020 due to the onset of the COVID-19 pandemic, an acceleration in the return to historical levels of utilization, and the direct costs of COVID-19 testing and treatment, partially offset by the favorable impact of non-recurring items, favorable net investment income, and the repeal of the health insurance industry tax.
- The medical care ratio⁴ ("MCR") of 85.4% for second quarter 2021 compares to 70.5% for second quarter 2020, reflecting significantly lower medical care in second quarter 2020 due to the onset of the COVID-19 pandemic, an acceleration in the return to historical levels of utilization, the direct costs of COVID-19 testing and treatment, and the pricing effect of the repeal of the health insurance industry tax.
- U.S. Medical net medical costs payable¹⁰ was \$3.55 billion at June 30, 2021, \$2.80 billion at June 30, 2020, and \$2.96 billion at December 31, 2020. Favorable prior year reserve development on a gross pre-tax basis was \$181 million and \$130 million through second quarter 2021 and 2020, respectively.

International Markets

This segment includes supplemental health, life and accident insurance products and health care coverage in Cigna's international markets, as well as health care benefits for globally mobile individuals and employees of multinational organizations.

Financial Results (dollars in millions):

	Three Months Ended			Six Months Ended
	June 30,		March 31,	June 30,
	2021	2020	2021	2021
Adjusted Revenues ^{1,7}	\$ 1,558	\$ 1,432	\$ 1,572	\$ 3,130
Adjusted Income from Operations, Pre-Tax ²	\$ 234	\$ 319	\$ 262	\$ 496
Adjusted Margin, Pre-Tax ⁸	15.0%	22.3%	16.7%	15.8%

- Second quarter 2021 adjusted revenues^{1,7} grew 9% over second quarter 2020, reflecting continued business growth and favorable net investment income, as well as favorable foreign currency movement.
- Second quarter 2021 adjusted income from operations, pre-tax² and adjusted margin, pre-tax⁸ decreased relative to second quarter 2020, reflecting significantly lower medical care in second quarter 2020 due to the onset of the COVID-19 pandemic, an acceleration in the return to historical levels of utilization, and the direct costs of COVID-19 testing and treatment, partially offset by favorable net investment income.

Corporate and Other Operations⁶

Corporate reflects interest expense, as well as amounts not allocated to operating segments and includes intersegment eliminations. Additionally, this discussion includes items reported in our Other Operations segment which is primarily comprised of Corporate Owned Life Insurance ("COLI") and the company's run-off operations.

Financial Results (dollars in millions):

	Three Months Ended			Six Months Ended
	June 30,		March 31,	June 30,
	2021	2020	2021	2021
Adjusted (Loss) from Operations, Pre-Tax ²	\$ (331)	\$ (268)	\$ (330)	\$ (661)

- Second quarter 2021 adjusted loss from operations, pre-tax² was greater than second quarter 2020 driven by the absence of contributions from the Group Disability and Life business, which was divested on December 31, 2020, partially offset by lower interest expense.

2021 OUTLOOK

Cigna's outlook for full year 2021 adjusted revenues^{1,3} is projected to be at least \$170 billion. Cigna's outlook for full year 2021 consolidated adjusted income from operations^{2,3} is at least \$6.96 billion, or at least \$20.20 per share. This outlook includes approximately \$2.50 per share in net unfavorable impacts of COVID-19. Additionally, this outlook includes the impact of expected future share repurchases and anticipated 2021 dividends.

(dollars in millions, except where noted and per share amounts)

<u>2021 Consolidated Metrics</u>	<u>Projection for Full Year Ending December 31, 2021</u>	<u>Change from Prior Projection</u>
Adjusted Revenues ^{1,3}	at least \$170,000	+\$4,000
Adjusted Income from Operations ^{2,3}	at least \$6,960	-\$40
Adjusted Income from Operations, per share ^{2,3}	at least \$20.20	
SG&A Expense Ratio ^{3,4}	~7.5%	-25 bps from the midpoint
Adjusted Tax Rate ^{3,11}	22.5% to 23.0%	-25 bps at the midpoint
Adjusted Margin, After-Tax ^{3,8}	~4.1%	-10 bps
Cash Flow from Operations ³	at least \$7,500	
Weighted Average Shares Outstanding (millions) ³	344 to 345	-2.5 at the midpoint
<u>2021 Evernorth Metrics</u>		
Adjusted Income from Operations, Pre-Tax ^{2,3}	at least \$5,800	+\$150
<u>2021 U.S. Medical Metrics</u>		
Adjusted Income from Operations, Pre-Tax ^{2,3}	at least \$3,500	-\$300
Medical Care Ratio ⁴	83.0% to 84.0%	+200 bps at the midpoint
<u>Total Medical Customer Growth (lives)⁵</u>	at least 350,000	

The foregoing statements represent the Company's current estimates of Cigna's 2021 consolidated and segment adjusted income from operations^{2,3} and other key metrics as of the date of this release. Actual results may differ materially depending on a number of factors. Investors are urged to read the Cautionary Note Regarding Forward-Looking Statements included in this release. Management does not assume any obligation to update these estimates.

This quarterly earnings release and the Quarterly Financial Supplement are available on Cigna's website in the Investor Relations section (<https://investors.cigna.com/home/default.aspx>). Management will be hosting a conference call to review second quarter 2021 results and discuss full year 2021 outlook beginning today at 8:30 a.m. ET. A link to the conference call is available in the Investor Relations section of Cigna's website located at <https://investors.cigna.com/events-and-presentations/default.aspx>.

The call-in numbers for the conference call are as follows:

Live Call

(866) 566-1253 (Domestic)

(773) 799-3825 (International)

Passcode: 852021

Replay

(800) 819-5743 (Domestic)

(203) 369-3828 (International)

It is strongly suggested you dial in to the conference call by 8:15 a.m. ET.

About Cigna

Cigna Corporation (NYSE: CI) is a global health service company dedicated to improving the health, well-being and peace of mind of those we serve. Cigna delivers choice, predictability, affordability and access to quality care through integrated capabilities and connected, personalized solutions that advance whole person health. All products and services are provided exclusively by or through operating subsidiaries of Cigna Corporation, including Cigna Health and Life Insurance Company, Connecticut General Life Insurance Company, Evernorth companies or their affiliates, and Express Scripts companies or their affiliates. Such products and services include an integrated suite of health services, such as medical, dental, behavioral health, pharmacy, vision, supplemental benefits, and other related products.

Cigna maintains sales capability in over 30 countries and jurisdictions, and has over 190 million customer relationships throughout the world. To learn more about Cigna®, including links to follow us on Facebook or Twitter, visit www.cigna.com.

Notes:

- Adjusted revenues is used by Cigna's management because it permits analysis of trends in underlying revenue. The Company defines adjusted revenues as total revenues excluding the following adjustments: special items and Cigna's share of certain realized investment results of its joint ventures reported in the International Markets segment using the equity method of accounting. Special items are matters that management believes are not representative of the underlying results of operations due to their nature or size. We exclude these items from this measure because management believes they are not indicative of past or future underlying performance of the business. Adjusted revenues is not determined in accordance with GAAP and should not be viewed as a substitute for the most directly comparable GAAP measure, total revenues. See Exhibit 1 for a reconciliation of consolidated adjusted revenues to total revenues.**
- Adjusted income (loss) from operations is a principal financial measure of profitability used by Cigna's management because it presents the underlying results of operations of Cigna's businesses and permits analysis of trends in underlying revenue, expenses and shareholders' net income. Adjusted income from**

operations is defined as shareholders' net income (or income before taxes for the segment metric) excluding net realized investment results, amortization of acquired intangible assets and special items. Cigna's share of certain realized investment results of its joint ventures reported in the International Markets segment using the equity method of accounting are also excluded. Special items are matters that management believes are not representative of the underlying results of operations due to their nature or size. Adjusted income (loss) from operations is measured on an after-tax basis for consolidated results and on a pre-tax basis for segment results. Consolidated adjusted income (loss) from operations is not determined in accordance with GAAP and should not be viewed as a substitute for the most directly comparable GAAP measure, shareholders' net income. See Exhibit 1 for a reconciliation of consolidated adjusted income from operations to shareholders' net income.

3. Management is not able to provide a reconciliation of adjusted income from operations to shareholders' net income (loss) or adjusted revenues to total revenues on a forward-looking basis because it is unable to predict, without unreasonable effort, certain components thereof including (i) future net realized investment results (from equity method investments with respect to adjusted revenues) and (ii) future special items. These items are inherently uncertain and depend on various factors, many of which are beyond Cigna's control. As such, any associated estimate and its impact on shareholders' net income and total revenues could vary materially.

The Company's outlook excludes the potential effects of any business combinations that may occur after the date of this earnings release. The Company's outlook includes the potential effects of expected future share repurchases and anticipated 2021 dividends.

As announced in January 2021, Cigna currently intends to pay regular quarterly dividends, with future declarations subject to approval by its Board of Directors and the Board's determination that the declaration of dividends remains in the best interests of Cigna and its shareholders. The decision of whether to pay future dividends and the amount of any such dividends will be based on the Company's financial position, results of operations, cash flows, capital requirements, the requirements of applicable law and any other factors the Board of Directors may deem relevant.

The timing and actual number of shares repurchased will depend on a variety of factors, including price, general business and market conditions, and alternate uses of capital. The share repurchase program may be effected through open market purchases in compliance with Rule 10b-18 under the Securities Exchange Act of 1934, as amended, including through Rule 10b5-1 trading plans, or privately negotiated transactions. The program may be suspended or discontinued at any time.

4. Operating ratios are defined as follows:
 - Medical care ratio represents medical costs as a percentage of premiums for all U.S. Commercial risk products, including medical, pharmacy, dental, stop loss and behavioral products provided through guaranteed cost or experience-rated funding arrangements, as well as Medicare Advantage, Medicare Part D, Medicare Supplement, Medicaid, and individual on and off-exchange products, within Cigna's U.S. Medical segment.
 - SG&A expense ratio represents enterprise selling, general and administrative expenses excluding special items as a percentage of adjusted revenue at a consolidated level.
5. Customer relationships are defined as follows:
 - Total medical customers includes individuals in Cigna's U.S. Medical and International Markets segments who meet any one of the following criteria: are covered under a medical insurance policy, managed care arrangement, or service agreement issued by Cigna; have access to Cigna's provider network for covered services under their medical plan; or have medical claims and services that are administered by Cigna.
 - Pharmacy customer relationships. Effective January 1, 2021, Pharmacy lives have been updated to reflect actual eligibility data for benefits provided to Prime Therapeutics. Previously these lives had been estimated based on prescriptions filled during the period. Pharmacy lives as of December 31, 2020 have been restated to reflect this change.
 - International Markets medical customers excludes medical customers served by less than 100% owned subsidiaries.

- International Markets supplemental policies exclude International Markets medical customers included in total medical customers.
- Total customer relationships excludes covered lives associated with the Group Disability and Life business that was sold on December 31, 2020.

6. As of the third quarter 2020, the segment previously reported as “Health Services” is reported as “Evernorth”, and the segment previously reported as “Integrated Medical” is reported as “U.S. Medical”. Additionally, U.S. Medical’s two operating segments previously reported as “Commercial” and “Government” are now reported as “U.S. Commercial” and “U.S. Government”. There are no changes to the underlying businesses reported in any of these segments.

Beginning first quarter 2021, in our earnings release and quarterly financial supplement “Corporate and Other Operations” combines the results previously reported as “Corporate” and the segment previously reported as “Group Disability and Other”, which is now reported as “Other Operations” in our securities filings. This change to simplify reporting was enabled by the sale of the Group Disability and Life business.

7. Cigna owns a 50% non-controlling interest in its China joint venture. Cigna’s 50% share of the joint venture’s earnings is reported in Fees and Other Revenues using the equity method of accounting under GAAP. As such, the adjusted revenues and policy counts for the International Markets segment do not include the China joint venture.
8. Adjusted margin, pre-tax, is calculated by dividing adjusted income (loss) from operations, pre-tax by adjusted revenues for each segment.

Adjusted margin, after-tax, is calculated by dividing consolidated adjusted income (loss) from operations by consolidated adjusted revenues. Adjusted income (loss) from operations is measured on an after-tax basis for consolidated results.

9. For Evernorth adjusted pharmacy scripts, non-specialty network scripts filled through 90-day programs and home delivery scripts are multiplied by three. All other network and specialty scripts are counted as one script.
10. Medical costs payable within the U.S. Medical segment are presented net of reinsurance and other recoverables. The gross medical costs payable balance was \$3.75 billion as of June 30, 2021, \$3.18 billion as of December 31, 2020, and \$2.96 billion as of June 30, 2020.
11. The measure “adjusted tax rate” is not determined in accordance with GAAP and should not be viewed as a substitute for the most directly comparable GAAP measure, “consolidated effective tax rate”. We define adjusted tax rate as the consolidated income tax rate applicable to the Company’s pre-tax income excluding net realized investment results, amortization of acquired intangible assets, and special items. Management is not able to provide a reconciliation to the consolidated effective tax rate on a forward-looking basis because we are unable to predict, without unreasonable effort, certain components thereof include (i) future net realized investment results and (ii) future special items.

CAUTIONARY NOTE REGARDING FORWARD-LOOKING STATEMENTS

This press release, and oral statements made in connection with this release, may contain forward-looking statements within the meaning of the Private Securities Litigation Reform Act of 1995. Forward-looking statements are based on Cigna's current expectations and projections about future trends, events and uncertainties. These statements are not historical facts. Forward-looking statements may include, among others, statements concerning our projected adjusted income from operations outlook for 2021 on a consolidated, per share, and segment basis; projected adjusted revenue outlook for 2021; projected total medical customer growth over year end 2020; projected medical care and SG&A expense ratios; projected consolidated adjusted tax rate; projected adjusted margin; projected cash flow from operations; projected weighted average shares outstanding; future financial or operating performance, including our ability to deliver affordable, personalized and innovative solutions for our customers and clients, including in light of the challenges presented by the COVID-19 pandemic; future growth, business strategy, strategic or operational initiatives; economic, regulatory or competitive environments, particularly with respect to the pace and extent of change in these areas; financing or capital deployment plans and amounts available for future deployment; our prospects for growth in the coming years; strategic transactions; and other statements regarding Cigna's future beliefs, expectations, plans, intentions, liquidity, cash flows, financial condition or performance. You may identify forward-looking statements by the use of words such as "believe," "expect," "plan," "intend," "anticipate," "estimate," "predict," "potential," "may," "should," "will" or other words or expressions of similar meaning, although not all forward-looking statements contain such terms.

Forward-looking statements are subject to risks and uncertainties, both known and unknown, that could cause actual results to differ materially from those expressed or implied in forward-looking statements. Such risks and uncertainties include, but are not limited to: our ability to achieve our strategic and operational initiatives; our ability to adapt to changes in an evolving and rapidly changing industry; the scale, scope and duration of the COVID-19 pandemic and its potential impact on our business, operating results, cash flows or financial condition, our ability to compete effectively, differentiate our products and services from those of our competitors and maintain or increase market share; price competition and other pressures that could compress our margins or result in premiums that are insufficient to cover the cost of services delivered to our customers; the potential for actual claims to exceed our estimates related to expected medical claims; our ability to develop and maintain satisfactory relationships with physicians, hospitals, other health service providers and with producers and consultants; our ability to maintain relationships with one or more key pharmaceutical manufacturers or if payments made or discounts provided decline; changes in the pharmacy provider marketplace or pharmacy networks; changes in drug pricing or industry pricing benchmarks; political, legal, operational, regulatory, economic and other risks that could affect our multinational operations; risks related to strategic transactions and realization of the expected benefits of such transactions, as well as integration difficulties or underperformance relative to expectations; dependence on success of relationships with third parties; risk of significant disruption within our operations or among key suppliers or third parties; our ability to invest in and properly maintain our information technology and other business systems; our ability to prevent or contain effects of a potential cyberattack or other privacy or data security incident; potential liability in connection with managing medical practices and operating pharmacies, onsite clinics and other types of medical facilities; the substantial level of government regulation over our business and the potential effects of new laws or regulations or changes in existing laws or regulations; uncertainties surrounding participation in government-sponsored programs such as Medicare; the outcome of litigation, regulatory audits, investigations; compliance with applicable privacy, security and data laws, regulations and standards; potential failure of our prevention, detection and control systems; unfavorable economic and market conditions, stock market or interest rate declines, risks related to a downgrade in financial strength ratings of our insurance subsidiaries; the impact of our significant indebtedness and the potential for further indebtedness in the future; unfavorable industry, economic or political conditions; credit risk related to our reinsurers; as well as more specific risks and uncertainties discussed in our most recent report on Form 10-K and subsequent reports on Forms 10-Q and 8-K available through the Investor Relations section of www.cigna.com. You should not place undue reliance on forward-looking statements, which speak only as of the date they are made, are not guarantees of future performance or results, and are subject to risks, uncertainties and assumptions that are difficult to predict or quantify. Cigna undertakes no obligation to update or revise any forward-looking statement, whether as a result of new information, future events or otherwise, except as may be required by law.

CIGNA CORPORATION

Exhibit 1

COMPARATIVE SUMMARY OF FINANCIAL RESULTS (unaudited)

(Dollars in millions, except per share amounts)

	Three Months Ended		Six Months Ended		Three Months Ended
	June 30,		June 30,		March 31,
	2021	2020	2021	2020	2021
REVENUES					
Pharmacy revenues	\$ 30,047	\$ 26,564	\$ 58,072	\$ 51,662	\$ 28,025
Premiums	10,323	10,406	20,537	21,246	10,214
Fees and other revenues	2,451	2,072	4,792	4,250	2,341
Net investment income	310	223	701	576	391
Total Revenues	43,131	39,265	84,102	77,734	40,971
Net realized investment results from certain equity method investments	(24)	(60)	(10)	(50)	14
Special item related to contractual adjustment for a former client	—	—	—	(87)	—
Adjusted revenues ⁽¹⁾	\$ 43,107	\$ 39,205	\$ 84,092	\$ 77,597	\$ 40,985
SHAREHOLDERS' NET INCOME					
Shareholders' net income	\$ 1,467	\$ 1,754	\$ 2,628	\$ 2,935	\$ 1,161
After-tax adjustments to reconcile adjusted income from operations					
Net realized investment (gains) losses ⁽²⁾	(70)	(88)	(57)	(11)	13
Amortization of acquired intangible assets	388	376	776	685	388
Special Items					
Debt extinguishment costs	9	11	110	151	101
Integration and transaction-related costs	14	99	36	173	22
Charges associated with litigation matters	—	—	(21)	19	(21)
Charge for organizational efficiency plan	—	—	—	24	—
Contractual adjustment for a former client	—	—	—	(66)	—
Adjusted income from operations	\$ 1,808	\$ 2,152	\$ 3,472	\$ 3,910	\$ 1,664
<u>Pre-tax adjusted income (loss) from operations by segment</u>					
Evernorth	\$ 1,413	\$ 1,249	\$ 2,636	\$ 2,331	\$ 1,223
U.S. Medical	1,017	1,523	2,004	2,722	987
International Markets	234	319	496	601	262
Corporate and Other Operations	(331)	(268)	(661)	(596)	(330)
Consolidated pre-tax adjusted income from operations	2,333	2,823	4,475	5,058	2,142
Adjusted income tax expense	(525)	(671)	(1,003)	(1,148)	(478)
Consolidated after-tax adjusted income from operations	\$ 1,808	\$ 2,152	\$ 3,472	\$ 3,910	\$ 1,664
DILUTED EARNINGS PER SHARE					
Shareholders' net income	\$ 4.25	\$ 4.73	\$ 7.54	\$ 7.88	\$ 3.30
After-tax adjustments to reconcile to adjusted income from operations					
Net realized investment (gains) losses ⁽²⁾	(0.20)	(0.24)	(0.16)	(0.03)	0.04
Amortization of acquired intangible assets	1.12	1.02	2.22	1.84	1.10
Special items					
Debt extinguishment costs	0.03	0.03	0.32	0.41	0.29
Integration and transaction-related costs	0.04	0.27	0.10	0.46	0.06
Charges associated with litigation matters	—	—	(0.06)	0.05	(0.06)
Charge for organizational efficiency plan	—	—	—	0.06	—
Contractual adjustment for a former client	—	—	—	(0.18)	—
Adjusted income from operations ⁽³⁾	\$ 5.24	\$ 5.81	\$ 9.96	\$ 10.49	\$ 4.73
Weighted average shares (in thousands)	344,929	370,697	348,434	372,668	351,976
Common shares outstanding (in thousands)			341,634	368,258	344,454
SHAREHOLDERS' EQUITY at June 30,			\$ 48,709	\$ 47,366	
SHAREHOLDERS' EQUITY PER SHARE at June 30,			\$ 142.58	\$ 128.62	

(1) Adjusted revenues is defined as total revenues excluding the following adjustments: special items and Cigna's share of certain realized investment results of its joint ventures reported in the International Markets segment using the equity method of accounting. These items are excluded because they are not indicative of past or future underlying performance of our businesses.

(2) Includes the Company's share of certain realized investments results of its joint ventures reported in the International Markets segment using the equity method of accounting.

(3) Adjusted income from operations is defined as shareholders' net income (or income before income taxes for the segment metric) excluding the following adjustments: net realized investment results, amortization of acquired intangible assets and special items. Cigna's share of certain realized investment results of its joint ventures reported in the International Markets segment using the equity method of accounting are also excluded.